

Question 1: What is the fundamental difference between Fixed Capital and Working Capital?

Answer: Fixed Capital represents the structural requirements and "the cost of being in business" (such as a lease, plant and equipment, and staff), whereas Working Capital is "money in movement" or "the money that makes money" operating in a cycle of cash, stock, sale, and debtors.

Key Point: A business needs structural assets to operate, but it is the continuous turning over of working capital through the trading cycle that actively generates profit.

Question 2: Why is the "chocolate business" analogy specifically recommended when explaining the working capital cycle?

Answer: It creates a "degree of separation" that allows the business owner to conceptually understand the financial principles without feeling immediately threatened or defensive about their own specific numbers and business struggles.

Key Point: Getting the conceptual understanding across using a neutral story (preferably in 3rd person) ensures the client doesn't get lost in the defensive details of their own business before the framework is established. (We call this 'creating dissociation'.)

Question 3: Scenario: You order stock and receive it in 14 days, sell it on the 21st day, and get paid on the 28th day. However, you still do not have enough money to buy new stock and pay wages. Do you have a cash flow problem?

Answer: No. You have a profitability problem.

Key Point: Because the trading cycle (including receipt of payment) was completed normally within the trading period, the lack of funds indicates that your gross margin is either too low or your fixed costs are too high.

Question 4: Scenario: You sell your first batch of stock and wait to be paid, but the client immediately requests another 'in-fill' order of stock. You cannot afford to buy more materials from your supplier upfront to meet this new demand. What type of problem is this?

Answer: A lack of working capital.

Key Point: This is a scenario where appropriate debt funding can be useful. The cost of financing acts as an "opportunity cost" that secures the client relationship and achieves a future profit injection.

Question 5: Scenario: A client has to reschedule a meeting due to illness, which delays your confirmation of purchase. Because of this, you miss the billing period for the month and won't get paid until the 28th of the *following* month. Do you have a cash flow problem?

Answer: Yes.

Key Point: Operational failures prevented the current trading cycle from completing in the same period. Even though the same cash will arrive eventually, the delay reduces the total number of stock turns (trading cycles) you can achieve in a year, leading to less annual profit.

Question 6: What is the primary danger of allowing a 30-day trading cycle to stretch out into a 60-day cycle?

Answer: It halves your yearly stock cycles (e.g., dropping from 12 cycles to 6 cycles a year), and the business will go "bust" if the item markup is insufficient to cover the prolonged time period.

Key Point: Time delays drastically reduce how many times money can be reinvested to generate profit per annum, requiring higher margins to survive slower cycles.

Question 7: According to the discounting matrix, if a business with a current sales margin of 30% decides to reduce its sale price by 6%, what must happen to maintain the original gross profit levels?

Answer: The business must sell 25% more volume.

Key Point: Reducing your sale price requires a drastically increased sales volume just to break even with what your original gross profit levels used to be.

Question 8: What is "Over-Trading" and what is its primary risk?

Answer: Over-trading is the term used to describe funding business growth primarily via debt without adequate previously retained profits.

Key Point: Using debt to fund fixed assets "in the hope" that it leads to increased future sales knocks the debt-to-equity ratio out of balance, which can be disastrous if the business hits a market downturn.

Question 9: When focusing on "Cash Preservation Tactics" regarding debtors, what protocol should be implemented for clients who consistently fall behind on payments?

Answer: Swap existing clients that have allowed their invoices to creep into 90-day arrears over to a strict "cash upon delivery" basis, and refuse to act for those who do not comply.

Key Point: Improving a business's cash position involves proactive management activities, such as enforcing strict debtor protocols, rather than just securing external funding.

Question 10: An audit of fixed costs ("Getting Organised") requires reviewing management effectiveness. What are the 3 signs of ineffective management?

Answer: 1. No evidence of clear, measurable, and time-bound business objectives; 2. An existing culture that accepts task failure as 'normal'; 3. No clear evidence of feedback loops where mistakes or 'wins' are shared.

Key Point: If objectives lack priority and failures are not learned from, internal operations will drag down the efficiency of the working capital cycle.